

Capital gains tax plays spoiler



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The Budget is fiscally responsible and strikes a sound balance between rural and urban development. While the government has an impressive list of reforms — including GST, Bankruptcy code, recap of public banks and liberalisation of FDI norms — it will take some time for some of these to play out.

The decision to move from “AA” to “A” grade rating securities opens up the investable universe for insurance companies and deepens the bond

market as well. However, the decision of keeping the minimum support price at one-and-a-half times of production cost could end up impacting inflation. The introduction of a national health protection scheme was much needed. This announcement that would insure 100 million families and 500 million beneficiaries against hospitalisation with ₹0.5 million per family is wonderful.

The Budget also seems to be pro MSME — the sector is set to gain from the 25 percent reduction in corporate tax rate as well as the increase in customs duties on some goods. The introduction of Long Term Capital Gains, along with Securities Transaction Tax, while anticipated, has disappointed markets despite the softened impact. The FY19 divestment target means large government equity supply shall continue and so a buoyant market would be helpful.



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EXPERT TAKE



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Govt committed to doubling farmers' income by 2022

THE BUDGET WAS faced with the task of juggling between fiscal prudence and providing a push to the economy, which has slowed this year and faces headwinds such as a slowing rural economy and rising oil prices. The government has an impressive list of reforms including the GST, Bankruptcy code, recapitalisation of public banks, liberalisation of FDI, etc and it will take some time for some of these to play out.

This Budget is clearly focused, as was widely expected, on directing money to farmers, rural India and the poor. The government appears committed to doubling

the income of farmers by 2022 and provide a house to everyone by 2022. The government would raise the MSP for the kharif crop to 1.5x of cost of produce.

The highly successful Ujwala scheme for free cooking gas has been expanded significantly. A key new scheme was introduction of a national health protection scheme to cover 100mn families and 500 mn beneficiaries. The aim is to provide ₹5 lakh benefit per family per year for hospitalisation. How this scheme will be rolled out and how it will be funded will be important to watch.

Missing the fiscal deficit target for this

year was understandable, given we had both demonetisation and the GST. However, the fiscal deficit target of 3.3% for next year seems a bit higher than expected. The government, however, is committed to Fiscal Responsibility and Budgetary Management (FRBM) Committee report and will bring down central govt debt to GDP ratio to 40% by 2021.

Tax receipts targets for next year seem a tad optimistic, while non-tax receipts have been budgeted somewhat conservatively. Non-tax receipts can provide some buffer should there be slippage on tax revenue estimates.

The budget may create some upward pressure on prices, particularly food prices. This is on account of higher MSP.

Moreover, expenditure growth has been budgeted higher, which could boost consumption but might entail some inflation.

While the introduction of LTCG is prima facie negative for the equity markets, the grandfathering clause has removed the immediate pain.

On the other hand, the FY19 divestment target means large government equity supply will continue and so a buoyant market would be helpful. Indian mar-

kets have recently underperformed global markets and this might continue for awhile till earnings growth shows through. The imposition of LTCG along with STT increases the tax on equity investors.

The opening up of the a rated market to insurance companies and others will be good overall and should lead to spreads in this category coming down. The fiscal deficit number, higher expenditure and some upside pressure on food prices is negative for the bond markets. Consequently the bond markets witnessed a sell-off.

Flows into Equity could Slow Unless Earnings Drive Markets Higher

Expert Take


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Every Budget is a statement of sources and uses of funds and inevitably reflects the context, priorities and trade-offs involved in this exercise. This year's Union Budget has focused its attention on the rural economy, on farmers, on the poor, on small businesses and on employment. The focus on the MSP should boost farmer incomes as desired. The grand healthcare scheme is expected to impact 16 crore families, making it one

of the biggest schemes in the world. In addition, there is focus on gas connections, electricity, housing and rural infrastructure. All in all, Bharat has expectedly and deservedly received significant focus.

Some of the funds to finance this will come from taxes and higher cesses on individuals and larger businesses and partly through higher custom duties on some elements of the consumption basket of the well to do. A more equitable India is certainly desirable. In furthering this cause, it would have been good to see a greater focus on disinvestment and on widening the tax base.

The Budget has forecast a real growth of 7.27.5% for next year. This pick-up in growth will have to come from consumption demand, especially from rural markets, the broader government spend and to some extent from SMEs, import substitution and exports. Oil prices and the

monsoon are going to be two elements to watch out for. The mix of government expenditure seems pro revenue expenditure and less tilted towards capex. The previous year budgeted capex was ₹3 lakh crore against which ₹2.8 lakh crore is likely to be achieved this year. The provision for next year is ₹3.09 lakh crore, which is a modest increase. Capital formation might remain muted in the coming year.

The fiscal deficit both for FY 18 and FY19 came in slightly higher than expected, though the FY18 slippage was expected given the impact of GST. The higher projected fiscal deficit, the view that indirect tax estimates seem a tad optimistic, the greater thrust to consumption, the impact of a higher MSP and the uncertainty around oil has got bond markets worried. Yields have already shot up 15-20 bps in response. While this raises the cost for borrow-

ers and creates losses for existing investors, new money could well flow in as a result of these higher returns. Oil prices, general inflation and collections from GST going forward would drive rates. The opening up of 'A' rated securities to a broader investor base could lead to a narrowing of spreads in this category and a widening of the bond market.

Equity investors were dealt an LTCG card after 14 years. While the grandfathering ensures there is no retrospective impact, it probably caps the market for some time. Given LTCG is applicable on gains from current prices, the estimate of collections might therefore not be as expected. With STT intact and no indexation benefits, the flows into equities could slow unless earnings drive markets higher. The booming IPO market could also moderate.

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